

Anmol Laghu Udyog v. D.V.V.N. Agra & Another

Allahabad High Court · Division Bench · 30 November 2016 · Writ - C No. 25512 of 2016 · **Writ petition allowed on 30 November 2016. The recovery notice dated 4 May 2016 (Rs. 6,00,000 compounding fee + Rs. 26,66,462.37 assessment) quashed for non-compliance with Para 6.8 of the U.P. Electricity Supply Code, 2005 - no provisional assessment, objections or hearing before recovery - following Ashok Kumar and Kamil, with liberty to proceed afresh under the Electricity Act, 2003 read with Para 6.8; the Rs. 16,00,000 deposited for interim restoration to remain deposited and abide by the fresh Section 126 assessment, excess refundable after adjusting dues. Show-cause proceedings against the CJM and SHO over the non-executed non-bailable warrant dropped on their explanations.**

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HEADNOTE

Anmol Laghu Udyog, running a Poha Mill on a 30 KWH connection, challenged a recovery notice dated 4 May 2016 by which the Executive Engineer, Dakshinanchal Vidyut Vitaran Nigam, Auraiya, demanded Rs. 6,00,000 as compounding fee and Rs. 26,66,462.37 as assessment (Rs. 32,66,462.37 in all) following a checking of its premises on 15 March 2016 and disconnection on 3 May 2016. Allowing the writ, a Division Bench of the Allahabad High Court held that Para 6.8(a)-(c) of the U.P. Electricity Supply Code, 2005 - framed by the U.P. Electricity Regulatory Commission under Section 50 of the Electricity Act, 2003 - prescribes a full-fledged mechanism for unauthorised-use cases: a prima facie conclusion recorded at the inspection and communicated to the consumer, a provisional assessment bill with a show-cause notice giving fifteen working days and fixing a date of hearing, an opportunity of personal hearing, and a speaking order establishing UUE and the quantum. Although the checking report dated 15 March 2016 bore the petitioner's signature, none of the Para 6.8 exercise was thereafter undertaken and the consumer was not associated in the inquiry before final assessment; recovery on that footing violated the principles of natural justice and the rule of fair play and was arbitrary (both sides in fact agreed the Para 6.8 procedure had not been followed, and the notice itself merely showed blank/'X' marks without reasons). Following Ashok Kumar (2008) and Kamil (2016), that non-compliance vitiated the proceeding and the recovery notice dated 4 May 2016 was quashed, with liberty to proceed afresh under the Act read with Para 6.8. The Rs. 16,00,000 the petitioner had deposited to secure interim restoration of supply was directed to remain deposited and to abide by the fresh Section 126 assessment, excess to be refunded after adjusting dues. The order-sheet also records a coercive episode: on the Executive Engineer's initial defiance the Court had issued a non-bailable warrant against him (later discharged on his spinal-fracture accident), and it censured the Chief Judicial Magistrate for returning the unexecuted warrant on the officer's mere assurance - holding that a High Court NBW must be executed - before dropping the show-cause proceedings against the court and police officers on their explanations.

FACTUAL SUMMARY

The petitioner, Anmol Laghu Udyog (through its proprietor Anmol Katiyar), ran a Poha Mill and held power connection no. 6534301502 of 30 KWH, claiming to have paid its bills regularly. On 15 March 2016 the Executive Engineer, Electricity Distribution Division, Auraiya, checked the premises and a checking report of that date was drawn up, which the petitioner signed. The connection was disconnected on 3 May 2016. The petitioner then received a recovery notice dated 4 May 2016 demanding Rs. 6,00,000 as compounding fee and Rs. 26,66,462.37 as demand assessment (Rs. 32,66,462.37 in all); the notice showed blank/'X' marks at the relevant places and did not state why the compounding fee and assessment had been raised. Anmol Laghu Udyog filed Writ - C No. 25512 of 2016 assailing the recovery notice dated 4 May 2016 and the checking report dated 15 March 2016 and seeking restoration of supply. On 27 May 2016 the Court noted the notice's defects and summoned the Executive Engineer; when he did not appear on 31 May 2016 (a Sub-Divisional Officer attending without instructions), the Court, finding the conduct derogatory, issued a non-bailable warrant against respondent no. 2, Executive Engineer Pankaj Sharma. On 6 July 2016 Pankaj Sharma appeared, explained that a spinal-fracture accident on 14 May 2016 had prevented his earlier appearance (explanation accepted, personal appearance dispensed with), and the Court ordered that the connection be restored within 48 hours if the petitioner deposited Rs. 16,00,000; the same order censured the Chief Judicial Magistrate, Auraiya for returning the unexecuted non-bailable warrant on the officer's assurance. After counter and rejoinder affidavits and further orders (including show-cause to the CJM and the Station House Officer), the matter was finally heard and disposed of on 30 November 2016.

1. Para 6.8(a)-(c) of the U.P. Electricity Supply Code, 2005 (framed under Section 50 of the Electricity Act, 2003) prescribes a full-fledged mechanism for unauthorised-use cases: a prima facie conclusion recorded at the inspection and communicated to the consumer, a provisional assessment bill with a show-cause notice giving fifteen working days and fixing a date of hearing, an opportunity of personal hearing, and a speaking order establishing whether UUE is made out and the quantum; non-compliance vitiates the proceeding and the demand notice issued pursuant thereto. **order of 30.11.2016**
2. A recovery for unauthorised use of electricity based only on an inspection/checking report, without associating the consumer in the inquiry before final assessment, violates the principles of natural justice and the rule of fair play and is arbitrary; the recovery notice is quashed with liberty to initiate fresh proceedings after following the Electricity Act, 2003 read with Para 6.8 of the Code, 2005. **order of 30.11.2016**
3. A recovery notice that merely shows blank/'X' marks at the relevant places and does not disclose the reasons for the compounding fee and assessment demand is patently illegal. **order of 31.5.2016**
4. A sum deposited by the consumer as a condition for interim restoration of the connection abides by the fresh Section 126 assessment; if excess is found to have been deposited, the balance is returned after adjusting the electricity dues, and if a further amount is due, the consumer is informed. **order of 30.11.2016**
5. When the High Court issues a non-bailable warrant, it must be executed and complied with; a Chief Judicial Magistrate has no authority to act on the assurance of the person named in the warrant and no business to return the warrant without executing it. **order of 6.7.2016**

HOLDING-UNITS

INTERPLAY · UP-2005::6.8

RATIO

Recovery for unauthorised use of electricity vitiated where the full Para 6.8 procedure - provisional assessment, objections, hearing and speaking order - is not followed before recovery

QUESTION

Whether an assessment and recovery for unauthorised use of electricity can be sustained where, after the inspection/checking report, none of the Para 6.8 procedure - provisional assessment bill, objections, opportunity of personal hearing and a speaking order - was undertaken and the consumer was not associated in the inquiry before final assessment?

HOLDING

No. Para 6.8(a)-(c) of the Code, 2005 lays down a full-fledged mechanism: the assessing officer must record a prima facie conclusion at the inspection and communicate it to the consumer, serve a provisional assessment bill with a show-cause notice giving fifteen working days and fixing a date of hearing, afford an opportunity of personal hearing, and pass a speaking order determining whether UUE is established and the quantum. Here the checking report dated 15 March 2016 was signed by the petitioner, but thereafter no exercise under the Para 6.8 mechanism was undertaken and the consumer was not associated in the inquiry before final assessment. Recovery without that prerequisite exercise violates the principles of natural justice and the rule of fair play and is arbitrary; the recovery notice dated 4 May 2016 is quashed and set aside, recovery to be initiated fresh only after the procedure under the Electricity Act, 2003 read with Para 6.8 of the Code, 2005 is followed. Both sides agreed the Para 6.8 procedure had not been adhered to. **order of 30.11.2016**

EVIDENCE “the recovery notice dated 4.5.2016 is hereby quashed and set-aside and we make it clear that recovery can be initiated fresh only once proceeding in question is undertaken after adopting the prescribed procedure” **order of 30.11.2016**

EVIDENCE “Once the consumer concerned has not at all been associated in the inquiry, as was required, for arriving and reaching to a conclusion before final assessment done by the Assessing Officer” **order of 30.11.2016**

EVIDENCE “the said proceeding will necessarily have to be presumed to be in violation of principle of nature justice and against the rule of fair play and thus for all practical purposes lending to arbitrariness” **order of 30.11.2016**

FLAG Order-sheet culminating in a reasoned final order of 30.11.2016 that carries printed internal page numbers (2-9) and reproduces the earlier daily orders; pins are given by order date for groundability across the order-sheet (pin_basis=date). Para 6.8 is expressly noted to be framed under Section 50 of the Act; both parties conceded 6.8 non-compliance.

Sum deposited for interim restoration of supply abides by the fresh Section 126 assessment; excess refundable after adjusting dues

QUESTION

On quashing the recovery notice, what is to happen to the Rs. 16,00,000 the petitioner deposited as a condition for interim restoration of the connection?

HOLDING

The connection had been restored on the petitioner depositing Rs. 16,00,000. That amount is to remain deposited and the petitioner is to continue paying current bills; the deposit will abide by the assessment to be made under Section 126 of the Electricity Act, 2003 in consonance with Para 6.8 of the Code, 2005. If, on the fresh assessment, excess is found to have been deposited, the balance is to be returned after adjusting the electricity dues; if a further amount is due, the petitioner is to be informed accordingly. **order of 30.11.2016**

EVIDENCE “the said amount in question should remain deposited and petitioner should continue to pay the current bills” **order of 30.11.2016**

EVIDENCE “to be undertaken in consonance with the provisions as contained under Paragraph 6.8 of the Code, 2005, and in case on the basis of assessment” **order of 30.11.2016**

EVIDENCE “the balance amount in question after adjusting the electricity dues be returned” **order of 30.11.2016**

FLAG The Rs. 16,00,000 deposit condition originated in the interim order of 6.7.2016; the final order of 30.11.2016 directs that it abide by the fresh Section 126 assessment.

INTERPLAY · OFFTOPIC::non-execution-of-high-court-non-bailable-warrant

A CJM has no authority to act on the assurance of the person named in a High Court NBW and return it unexecuted; show-cause proceedings against court/police officers dropped on explanation

QUESTION

What is the consequence where a non-bailable warrant issued by the High Court against a defaulting officer is not executed, the Chief Judicial Magistrate having returned it on the officer's assurance to appear?

HOLDING

When the High Court issues a non-bailable warrant, it must be executed and complied with; the Chief Judicial Magistrate had no authority to act on the assurance of the Executive Engineer and no business to return the warrant without executing it, and show-cause notices were issued to the CJM and the Station House Officer for dereliction of duty. On the explanations, the Court found the CJM had taken all requisite steps and could not be faulted, the slight laxity lying with the police official; and, given the peculiar facts - the Executive Engineer's spinal-fracture accident and his eventual appearance - the Court dropped the proceedings against them as no useful purpose would be served. **orders of 31.5.2016, 6.7.2016, 15.11.2016 and 30.11.2016**

EVIDENCE “The Chief Judicial Magistrate, District Auraiya had no authority to act on the assurance of the Executive Engineer” **order of 6.7.2016**

EVIDENCE “prompts us to drop the proceedings in question here, as no useful purpose would be served by means of initiating any proceeding against them” **order of 30.11.2016**

FLAG Ancillary contempt-type proceeding arising from the licensee-officer's initial defiance (a non-bailable warrant was issued against the Executive Engineer on 31.5.2016). Pins are order dates.

PRINCIPLE TAGS

para-6.8-non-compliance-vitiates-assessment-and-recovery Non-compliance with the Para 6.8 procedure (provisional assessment, objections, hearing and speaking order) for unauthorised use of electricity vitiates the proceeding and the demand/recovery notice issued pursuant thereto. Lead authorities: *Ashok Kumar & Ors. v. State of U.P. & Ors.* [SCJ-158], *Kamil v. State of U.P. & Others* [SCJ-165]. **order of 30.11.2016**

consumer-must-be-associated-in-inquiry-before-final-assessment A recovery based only on an inspection/checking report, without associating the consumer in the inquiry (provisional assessment and hearing) before final assessment, violates natural justice and the rule of fair play and is arbitrary. **order of 30.11.2016**

deposit-for-interim-restoration-abides-by-fresh-section-126-assessment

A sum deposited as a condition for interim restoration of supply abides by the fresh Section 126 / Para 6.8 assessment; any excess is refunded after adjusting dues and any shortfall is intimated to the consumer. **order of 30.11.2016**

high-court-non-bailable-warrant-must-be-executed

A High Court non-bailable warrant must be executed; a Chief Judicial Magistrate cannot act on the assurance of the person named and return it unexecuted. **order of 6.7.2016**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, AND TO WHAT EXTENT, THE PETITIONER WAS IN FACT LIABLE FOR UNAUTHORISED USE OF ELECTRICITY, AND THE QUANTUM OF ANY LEGITIMATE ASSESSMENT.

Left open; to be determined afresh on a proper Section 126 / Para 6.8 assessment, the Rs. 16,00,000 deposit abiding by that determination. [SCJ-158] **order of 30.11.2016**

RELATED CASES — SEE ALSO

SCJ-158 — Ashok Kumar - the lead Division Bench authority that non-compliance with Para 6.8 vitiates the proceeding and the demand notice; relied on here.

SCJ-165 — Kamil - co-relied Division Bench authority quashing recovery where no provisional assessment bill, objections or hearing under Para 6.8(b)(2) was afforded.

SCJ-1982 — Ramanuj Tripathi - recovery quashed for want of the Clause 6.8(1)(b) hearing and a Section 126(3) final assessment; the same Para 6.8 / Section 126 procedural axis.

SCJ-1227 — Theft citation quashed for want of the Clause 6.8(b) opportunity of hearing - the same Para 6.8 defect vitiating recovery.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar & Ors. v. State of U.P. & Ors.</i> 2008 (6) ADJ 660 (DB) [SCJ-158] Allahabad High Court	Non-compliance of Paragraph 6.8 of the U.P. Electricity Supply Code, 2005 vitiates the proceeding as well as the demand notice issued pursuant thereto; the dictum has been reaffirmed and reiterated in subsequent Division Benches.	Followed; the recovery notice was quashed for non-compliance with Para 6.8 on the authority of Ashok Kumar. order of 30.11.2016	Petitioner	Followed
<i>Kamil v. State of U.P. & Others</i> 2016 (6) ADJ 11 (DB) [SCJ-165] Allahabad High Court	Where there is nothing on record to suggest the consumer was provided any provisional assessment bill and opportunity to file objections, or any date fixed for hearing his view point as prescribed under Para 6.8(b)(2) of the Code, 2005, the recovery cannot stand.	Relied on to similar effect as Ashok Kumar. order of 30.11.2016	Court	Relied on

SCJ-1987 · Anmol Laghu Udyog v. D.V.V.N. Agra & Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.